# Investor Fee Disclosure

Deribit Options Program | Version 1.1 | 2026-05-27

This document describes management and performance fees, multi-currency (BTC / ETH / USDC) valuation and collection, and how covered-call collateral spot is treated differently for each fee. Binding terms are governed by the signed investment management agreement.

## 1. Fee overview

| Item | Rate / rule | Notes |
|---|---|---|
| Management fee | 1.0% p.a. (quarterly) | On quarterly average AUM_mgmt |
| Performance fee | 10% | Only on new profits above the high water mark (HWM) |
| Billing unit | Per investor (consolidated) | All authorized sub-accounts merged |
| High water mark | Required | Tied to NAV_perf only; no performance fee until new high |

## 2. Two bases: performance NAV vs. management AUM

Covered calls require investor BTC/ETH spot as collateral and margin. Spot affects strategy alpha and custody scale differently, so we use two bases:

| Basis | Includes investor collateral spot? | Used for |
|---|---|---|
| Performance NAV (NAV_perf) | No | Period P&L, HWM, performance fee |
| Management AUM (AUM_mgmt) | Yes (authorized collateral spot in sub-accounts) | Management fee average AUM |

### 2.1 Performance NAV (NAV_perf) — excludes collateral spot

- Definition: Sum of USDC-equivalent equity across authorized sub-accounts, **minus** agreed investor collateral spot (valued at Deribit index on settlement date).
- Includes: Options, margin, stablecoins, strategy realized/unrealized P&L (USDC equivalent).
- Excludes: Investor-owned BTC/ETH held only for covered-call collateral and its price moves.
- Purpose: Performance fee rewards options strategy results, not spot beta.

### 2.2 Management AUM (AUM_mgmt) — includes collateral spot

- Definition: NAV_perf **plus** agreed collateral spot in sub-accounts (USDC equivalent).
- Rationale: Collateral uses margin and operational resources; the manager oversees overall risk.
- Formula: Quarterly management fee = average AUM_mgmt × 1.0% × (days in quarter / 365).

## 3. Multi-currency valuation (BTC / ETH / USDC)

Deribit accounts are segregated by collateral currency (BTC, ETH, USDC books). All billing uses official data at the **settlement snapshot**, converted to USDC equivalent.

| Asset | Valuation |
|---|---|
| USDC and linear legs | USDC balance |
| BTC book equity | BTC equity × BTC index (USD) on settlement date |
| ETH book equity | ETH equity × ETH index (USD) on settlement date |
| Investor collateral spot | Quantity × same index (same basis as NAV_perf deduction) |

### 3.1 Consolidated formulas (conceptual)

NAV_perf = Σ sub-account USDC-equivalent equity – investor collateral spot (USDC equivalent)
AUM_mgmt = NAV_perf + investor collateral spot (USDC equivalent)
Period P&L (performance) = NAV_perf,end – NAV_perf,start – net subscription adjustment

Net subscription adjustment: deposits increase the baseline, withdrawals decrease it; confirmed per Deribit transaction log and mutual acknowledgment.

## 4. Performance fee (10%) and high water mark

Distributable profit = max(0, NAV_perf,end – HWM – net subscription adjustment for the quarter)
Quarterly performance fee = distributable profit × 10%
HWM after settlement = NAV_perf,end – quarterly performance fee (post-fee HWM; management fee separate)

HWM tracks **NAV_perf only**, **not** collateral spot. A drop in BTC/ETH spot does not directly lower HWM; options profits can still trigger a performance fee when NAV_perf makes a new high. Subscriptions and partial redemptions follow the IMA or side letter.

## 5. Collection: Fee sub-account reconciliation + main-account withdrawal

Fees are **not** deducted from strategy sub-accounts. The investor opens a separate **Fee** sub-account for reconciliation. After quarter-end the manager trades spot profits to USDC/USDT and transfers from the **strategy** sub-account API (wallet read/write) to the Fee sub; after both parties confirm, the investor withdraws from the **main account**. Fee sub-account API is Account=read only.

### 5.1 Investor obligations

1. Create a dedicated Fee sub-account (suggested name: fee_acc; at least 5 characters—do not use fee), separate from strategy subs;
2. Create a Fee-only API key (Account=read, Wallet/Trade off) and deliver securely to the manager;
3. Strategy sub-account API: Read + Trade + Wallet read/write (for API transfer to Fee sub);
4. After invoice, reconcile with the manager and confirm;
5. Withdraw from the <b>main account</b> to the manager's specified address to complete payment;
6. Do not deliver main-account API keys to the manager;
7. Late reconciliation or payment may trigger a pause on new entries per the IMA.

### 5.2 Relation to NAV_perf

NAV_perf and HWM consolidate **strategy** sub-accounts only; Fee sub-account balance is excluded. The Fee sub-account is for reconciliation only; actual collection is via main-account withdrawal.

### 5.3 Management and performance fees

Management fee on AUM_mgmt (including collateral spot); performance fee at 10% of distributable profit. Invoices are USDC-equivalent; the manager converts and transfers to the Fee sub for reconciliation; the investor pays by withdrawing from the main account after confirmation.

## 6. Settlement cycle and investor reports

| Item | Suggested terms |
|---|---|
| Regular settlement | Quarter-end (last day of Mar / Jun / Sep / Dec, UTC) |
| Valuation time | Settlement day 23:59 UTC snapshot |
| Invoice issued | Within 10 business days after quarter-end |
| Payment due | Within 5 business days after reconciliation, withdraw from <b>main account</b> to manager's address |
| Redemption | Accrued fees settled on effective redemption date |

Each quarterly report should include at least:

- NAV_perf and AUM_mgmt at quarter start and end;
- Collateral spot quantity and USDC-equivalent value (reconciled to NAV_perf deduction);
- Net subscriptions, distributable profit, HWM changes, management and performance fee detail;
- Per-book equity and settlement index prices;
- Actual collection currency and conversion notes (if any).

## 7. Worked example (simplified)

| Item | Amount (USDC equivalent) |
|---|---|
| HWM at quarter start (NAV_perf) | 100,000 |
| NAV_perf at quarter end | 106,000 |
| Collateral spot at quarter end (management only) | 40,000 |
| AUM_mgmt at quarter end | 146,000 |
| Net deposit in quarter | 2,000 |
| Distributable profit | 106,000 – 100,000 – 2,000 = 4,000 |
| Performance fee (10%) | 400 |
| Management fee (avg AUM_mgmt ≈ 140,000, 1.0% p.a.) | ≈ 350 |

Illustrative only; actual amounts use settlement-day official balances and agreed rates.

## Appendix: FAQ — Does HWM include BTC/ETH spot?

- **No.** If HWM were tied to total equity including spot, a spot drawdown could block performance fees even when options are profitable.
- Under this program, HWM tracks NAV_perf only (collateral spot deducted). Spot declines do not directly lower HWM.
- Management fee has no HWM; it uses AUM_mgmt (including spot). Lower spot reduces management fee base (custody scale), not performance HWM.
- The agreement should fix collateral spot quantities and reconcile quarterly so NAV_perf stays consistent.

## 8. Risks and disclaimers

- Short-volatility option strategies carry risk of loss; this document is not a guarantee of return.

• HWM prevents double-charging performance fees; it does not guarantee NAV_perf exceeds prior highs.

• Multi-currency conversion and collection may be affected by index prices, liquidity, and exchange rules.

• Collateral spot price risk remains with the investor; performance fee excludes spot moves; management fee includes collateral scale.

• Past performance is not indicative of future results; seek tax and regulatory advice independently.

• Deribit official statements prevail in disputes; if this document conflicts with a signed agreement, the agreement controls.

Manager: __________________________ Contact: __________________________
Investor acknowledgment: ______________ Date: __________________________

Fee logic described here aligns with the Deribit options strategy engine's book segregation and USDC-equivalent reporting. This document is not an official Deribit statement.